HRM - Unit I

Introduction to Human Resource Management

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
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Part A - Notes

Syllabus - Unit I (10 lectures): Evolution of HRM, definition, objectives, scope and importance of HRM in modern organisations; HRM vs Personnel Management; role and responsibilities of HR managers, required competencies, and the changing role of HR in the era of globalization and digital transformation.

1. Definition of HRM

Gary Dessler: "HRM is the process of **acquiring, training, appraising and compensating** employees, and of attending to their labour relations, health, safety and fairness concerns."

Also: HRM is the process of acquiring, developing, motivating and maintaining a workforce so that the organisation achieves its goals.

- Manages the **complete employee lifecycle**.
- Treats people as **assets**, not merely as a cost.
- Aligns individual goals with organisational objectives.
- Combines human judgement with policies, systems and HR data.

Mnemonic: A-T-A-C = Acquire → Train → Appraise → Compensate (support layer: Labour relations, Health, Safety, Fairness).

2. Evolution of HRM

Stage	Period	Main focus
Welfare stage	Pre-1920s	Employee well-being, safety and basic amenities in factories
Personnel management	1920s-1980s	Administrative work: hiring, payroll, discipline, record keeping
HRM	1980s-2000s	Employees as valuable resources; development and motivation
Strategic and digital HR	2000s-present	HR as strategic partner; analytics, AI and automation support decisions

Mnemonic: W-P-H-D = Welfare → Personnel → HRM → Digital/Strategic. "Care → Admin → Develop → Strategise".

Exam line: HRM evolved from basic welfare to administrative personnel management, then to employee development and finally to a strategic, technology-enabled approach - from worker welfare to strategic value creation.

3. Objectives of HRM

Objective	Meaning
Organisational	Support organisational effectiveness through workforce planning and productivity
Functional	Maintain HR's contribution at a level appropriate to the organisation's needs
Social (societal)	Respond ethically and legally to society's needs; minimise negative impact
Personal	Help employees achieve individual career and personal goals

Mnemonic: OFSP = Organisational, Functional, Societal, Personal.

4. Scope of HRM

- HR planning, recruitment and selection
- Training and development
- Performance appraisal and management
- Compensation and benefits administration
- Employee health, safety and welfare
- Industrial and labour relations
- HR records and HR information systems (HRIS)
- Career planning and succession management

Mnemonic: P-R-T-P-C-H-I-C = Planning, Recruitment, Training, Performance, Compensation, Health, Industrial relations, Career.

5. Functions of HRM

Managerial functions	Operative functions
Planning	Staffing (procurement)
Organising	Training and development
Directing	Compensation and rewards
Controlling	Motivation and integration; maintenance and welfare; emerging HR issues

Mnemonic: PODC = Plan, Organise, Direct, Control. Operative: "Staff - Train - Pay - Motivate - Maintain - Evolve".

Very important link (long answers): objectives tell HR *what it must achieve*; functions are the *activities through which it achieves them*. Example: productivity objective → HR planning, staffing and training; employee career objective → training, performance management and career development.

6. Importance of HRM in modern organisations

Importance	How HR contributes
Drives productivity	Better engagement and output
Fosters innovation	Skilled, motivated employees contribute ideas
Ensures compliance	Handles legal, ethical and regulatory workforce obligations
Builds competitive advantage	People are difficult for competitors to copy
Strengthens culture	Shapes values, communication and employee relations
Enables change management	Supports growth, restructuring and disruption

Mnemonic: P-I-C-A-C-C = Productivity, Innovation, Compliance, Advantage, Culture, Change.

7. Personnel Management vs HRM

Dimension	Personnel Management	HRM
Employment contract	Careful delineation of written contracts	Aims to go beyond the contract
Rules	Emphasis on clear rules	More value / mission orientation
Behaviour referent	Norms, customs and practices	Values and mission
Managerial task	Monitoring	Nurturing
Management role	Transactional	Transformational leadership
Communication	Indirect	Direct
Conflict handling	Reach a temporary truce	Manage climate and culture
Training and development	Controlled access to courses	Learning organisation
Intervention focus	Personnel procedures	Wider cultural, structural and personnel strategies
Shared interests	Organisational interests uppermost	Mutuality of interests

Fast recall: PM = administer people; HRM = develop and align people. "A paradigm shift" - HRM changes the way of thinking (people as assets, strategy-linked); the basic functions (hiring, pay, discipline) are common to both. Use at least five comparison bases.

8. Roles and responsibilities of HR managers

Role	Core responsibility
Strategic partner	Align HR strategy with business goals
Administrative expert	Efficient HR processes and legal compliance
Employee champion	Advocate employee needs, morale and well-being
Change agent	Drive organisational change and transformation
Talent manager	Recruitment, retention and succession
Learning facilitator	Build capability through training and development

Mnemonic: S-A-E-C-T-L = Strategic, Administrative, Employee, Change, Talent, Learning.

Older roles: policy maker, conciliator (mediator) between management and employees, welfare officer, record keeper.

9. Competencies required for HR managers

- Communication and interpersonal skills
- Ethical judgement and confidentiality
- Knowledge of labour laws and compliance
- Data and HR analytics proficiency
- Problem-solving and decision-making
- Change management and adaptability
- Digital and HR technology (HRIS) skills
- Negotiation and conflict resolution

Mnemonic: C-E-L-D-P-C-D-N = Communication, Ethics, Labour law, Data, Problem-solving, Change, Digital, Negotiation.

10. HR policies and principles

An HR policy is a guideline for handling people matters consistently. Good policies give **effectiveness** (clear decisions), **continuity** (same practice when managers change) and **stability** (equal, predictable treatment).

11. Changing role of HR - globalisation and digital transformation

Force	Effect on HR
Globalisation	Multicultural, geographically dispersed workforces; cross-border compliance; global mobility / expatriates; culturally sensitive policies
Digital transformation	AI and automation in recruitment and screening; HR analytics for evidence-based decisions; cloud HRIS self-service; remote and hybrid work tools

Exam line: "Modern HR is no longer only a support department; it is a strategic partner that uses people knowledge and technology to create organisational value."

Unit I - most probable questions

- Define HRM and explain its evolution.
- Explain the objectives of HRM and relate them to HRM functions.
- Explain the scope and importance of HRM in modern organisations.
- Differentiate Personnel Management and HRM.
- Discuss the roles and competencies of HR managers.
- Explain the changing role of HR in globalisation and digital transformation.

Part B - Important questions

1. Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management. OR Explain the objectives of HRM under the headings of organizational, functional, societal and personal objectives.
2. "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.
3. Explain the managerial and operative functions of HRM.
4. Discuss the role of HR Manager and how it is changing.
5. "HRM policies and principles contribute to the effectiveness, continuity and stability of the organization."
6. Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR Manager?
7. Examine the changing role of HR in the era of globalization and digital transformation.

Part C - Detailed model answers (28 answers)

Q1. [2 marks] Define Human Resource Management.

Introduction to HRM

Human Resource Management (HRM) is the process of **acquiring, developing, motivating and maintaining** a competent workforce so that the organisation can achieve its goals efficiently.

- **Acquiring** - planning, recruiting and selecting the right people.
- **Developing and motivating** - training, rewarding and guiding them to perform better.
- **Maintaining** - looking after their health, safety, welfare and relations with the management.

Example: A retail chain that plans its staff needs, hires and trains store employees, pays incentives and handles their complaints is practising HRM.

Marking scheme: Definition 1 · two explained points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [2 marks] State the nature (features) of HRM.

Introduction to HRM

HRM is concerned with managing the people of an organisation in a planned way.

- **People oriented** - it deals with human beings, not machines or money.
- **Continuous process** - it is not a one-time activity; it goes on as long as the organisation exists.
- **Pervasive** - every manager, not only the HR department, performs HR work.
- **Strategic** - it is linked with business objectives.

Marking scheme: Any four features, 0.5 each

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [3 marks] Explain the features of HRM with examples.

Introduction to HRM

HRM treats employees as a valuable resource and manages them in a systematic and continuous way. Its main features are:

1. **People-oriented:** HRM deals with human beings whose feelings and motivation affect performance. *Example:* a manager who recognises good work boosts morale.
2. **Continuous process:** hiring, training, appraisal and welfare go on throughout the life of the firm, not only at hiring time.
3. **Pervasive function:** every department manager supervises, appraises and motivates his own team, so HRM is everyone's job.
4. **Strategic and integrated:** HR plans are made to support the business strategy, e.g. hiring digital skills when the firm moves online.

Marking scheme: Introduction 0.5 · three features with explanation 2 · example 0.5

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [5 marks] Discuss the scope of HRM.

Introduction to HRM

Introduction

The scope of HRM covers all activities connected with an employee from the time of entering the organisation until leaving it. It is the **employee life cycle**.

Scope of HRM

1. **Procurement (acquisition):** HR planning, job analysis, recruitment and selection - getting the right people in the right number.
2. **Development:** induction, training, career development and succession planning - improving knowledge, skills and attitudes.
3. **Compensation:** job evaluation, wages, incentives and fringe benefits - fair reward for work.
4. **Integration and maintenance:** motivation, health and safety, welfare, grievance handling and industrial relations - keeping employees satisfied and committed.
5. **Separation:** resignation, retirement, retrenchment and exit interviews.

Conclusion

Thus HRM extends from planning the workforce to managing exit, covering every people-related activity.

Marking scheme: Introduction 1 · five areas of scope 3 · conclusion 1

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [10 marks] Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management.

Introduction to HRM

1. Introduction

People are the most important resource of an organisation. **Human Resource Management** is the process of **acquiring, developing, motivating and maintaining** a workforce so that the organisation achieves its goals. It is both a function of management and a philosophy that sees employees as valuable assets rather than as a cost.

2. Objectives of HRM

Objective	Meaning	Illustration
Organisational	Contribute to the effectiveness of the organisation; right people at the right place	Workforce planning for a new plant
Functional	Keep the HR department's service in proportion to the organisation's needs	Cost-effective recruitment and payroll
Societal	Behave ethically and responsibly towards society; follow laws	Equal opportunity, no child labour
Personal	Help employees achieve their own goals, growth and satisfaction	Training, promotion paths

3. Scope of HRM

- **Procurement:** HR planning, job analysis, recruitment, selection, placement.
- **Development:** training, career development, succession planning.
- **Compensation:** job evaluation, wage and salary administration, incentives, benefits.
- **Integration and maintenance:** motivation, welfare, health and safety, grievance and industrial relations.
- **Separation:** retirement, resignation, retrenchment.

4. Evolution of HRM

Stage	Approach
Welfare work	Employers looked after workers' working conditions and welfare
Personnel management	Clerical and administrative: hiring, payroll, records, discipline
Human resource management	People seen as resources; planning, development and motivation linked to strategy
Strategic HRM	HR fully aligned with business strategy, technology and globalisation

Example: A factory that earlier only kept attendance registers now runs HR analytics, training programmes and career paths for its staff.

5. Conclusion

HRM has grown from simple welfare and record keeping into a strategic partner of top management, because the quality of people decides the success of every organisation.

Marking scheme: Introduction 1 · objectives 2.5 · scope 2.5 · evolution 3 · conclusion 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [6 marks] Explain the objectives of HRM under the headings of organisational, functional, societal and personal objectives.

Objectives of HRM

Introduction

HRM objectives are the goals that the HR function sets to serve the organisation, its employees and society. They are classified into four groups.

1. Organisational objectives

HRM exists to help the organisation become effective. It does not exist for itself. It ensures the **right people are in the right place** and supports the achievement of organisational goals.

2. Functional objectives

These keep the contribution of the HR department at a level suitable to the organisation's needs. Resources should be used well: an HR department that is too costly or too weak for the firm's size defeats its purpose.

3. Societal objectives

The organisation must be ethically and socially responsible. This includes obeying laws, giving fair employment and reducing the negative impact of its business on society. Failure can lead to restrictions or loss of reputation.

4. Personal objectives

HRM helps employees achieve their personal goals so long as these also support the organisation. Training, career growth, fair pay and recognition increase motivation, satisfaction and retention.

Example: A company that plans its workforce (organisational), keeps HR cost reasonable (functional), follows labour laws (societal) and offers training and promotion (personal).

Marking scheme: Introduction 1 · four objectives 1 each · example 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [3 marks] What are the societal objectives of HRM?

Objectives of HRM

Societal objectives mean that the HR department must be **ethically and socially responsible** to the society in which the firm operates.

- **Compliance with laws:** labour laws, minimum wages, safety and non-discrimination rules.
- **Fair employment:** equal opportunity for all groups without bias of gender, caste or religion.
- **Reducing negative impact:** avoiding practices that harm society, such as child labour or exploitation.

Example: A firm that hires persons with disabilities and follows the minimum wage law meets its societal objectives.

Marking scheme: Meaning 1 · three points 1.5 · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [2 marks] What is Personnel Management?

HRM vs Personnel Management

Personnel Management is the older, administrative approach to handling employees. It is concerned with routine activities such as **recruitment, payroll, attendance, discipline and record keeping**.

- It treats employees as a **cost** to be controlled.
- It is **reactive**: it acts only when a problem arises, and it has little link with business strategy.

Example: A personnel department that only maintains attendance registers and processes salaries.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [3 marks] State any three differences between HRM and Personnel Management.

HRM vs Personnel Management

Basis	Personnel Management	HRM
View of employees	A cost to be minimised	A valuable resource / asset to be developed
Approach	Reactive and routine	Proactive and strategic
Scope	Hiring, payroll, records	Planning, development, motivation, culture

Explanation: personnel management is limited to administering employees, while HRM aims at developing people and linking them to business strategy for long-term growth.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q10. [6 marks] "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.

HRM vs Personnel Management

Introduction

A **paradigm shift** is a fundamental change in the way of thinking. The statement says that HRM is not just old personnel management with a new name; it changes how the organisation looks at its people.

Distinction

Basis	Personnel Management	HRM
View of people	A cost to be controlled	A valuable resource that can be developed
Approach	Reactive, routine, clerical	Proactive and strategic
Scope	Payroll, attendance, records, discipline	Planning, development, motivation, culture
Link with strategy	None or weak	Fully integrated with business strategy
Role of the manager	Staff specialist working alone	Strategic partner; line managers share HR work
Time horizon	Short term	Long term

Critical examination

- **In favour:** HRM brings a new philosophy - people as assets, commitment instead of compliance, and strategic planning.
- **Against:** basic activities such as hiring, pay and discipline are the same in both; in many firms HRM is only a change of name.

Conclusion

The statement is largely true where HRM is truly strategic; it is a shift in outlook, not merely in functions.

Marking scheme: Introduction 1 · table (any 4 rows) 3 · critical view 1 · conclusion 1

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [2 marks] Name the managerial and operative functions of HRM.

Functions of HRM

- **Managerial functions:** planning, organising, directing and controlling HR activities.
- **Operative functions:** procurement, development, compensation, integration and maintenance of employees.

Managerial functions apply the management process to HR; operative functions are the specific HR activities performed.

Marking scheme: Managerial 1 · operative 1

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [3 marks] Explain the managerial functions of HRM.

Functions of HRM

The managerial functions apply the four functions of management to the human resource area.

1. **Planning:** forecasting HR needs and framing policies, programmes and procedures. *E.g.* a manpower plan.
2. **Organising:** grouping activities, defining duties and authority, and creating relationships among employees.
3. **Directing:** guiding, motivating, communicating with and leading employees so that they work willingly.
4. **Controlling:** comparing actual performance with standards and correcting deviations through appraisal and audit.

Marking scheme: Introduction 0.5 · four functions 2 · example 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [5 marks] Explain the managerial and operative functions of HRM.

Functions of HRM

Introduction

The functions of HRM are broadly divided into managerial and operative functions. Managerial functions apply management principles to HR; operative functions are the specific tasks of managing people.

A. Managerial functions

- **Planning** - setting HR objectives, forecasting the workforce and framing HR policies.
- **Organising** - creating the HR structure, assigning duties and delegating authority.
- **Directing** - motivation, leadership and communication.
- **Controlling** - appraisal, audit and corrective action.

B. Operative functions

Function	Activities
Procurement	HR planning, recruitment, selection, placement
Development	Training, career development, succession planning
Compensation	Job evaluation, wages, incentives, benefits
Integration	Uniting employee and organisational interests, motivation, participation
Maintenance	Health, safety, welfare, grievance handling

Conclusion

Managerial functions guide the process while operative functions carry out the HR work; together they make HRM effective.

Marking scheme: Introduction 0.5 · managerial 2 · operative 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [3 marks] Explain any three roles of the HR manager.

Role of HR Manager

1. **Policy maker / adviser:** advises top management on HR policies such as hiring, pay and discipline and helps frame them.
2. **Conciliator (mediator):** acts as a link between management and employees; handles grievances and settles disputes.
3. **Strategic partner and change agent:** helps plan the business, introduces new technology and manages organisational change.

Example: When two employees quarrel, the HR manager hears both and settles the matter fairly (conciliator).

Marking scheme: Three roles with explanation 2.5 · example 0.5

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [6 marks] Discuss the role of the HR manager and how it is changing.

Role of HR Manager

Introduction

The HR manager is the person responsible for planning and carrying out all people-related activities of the organisation. The role has changed from administrator to strategic partner.

Traditional roles

- **Administrator and record keeper** - maintaining files, payroll and attendance.
- **Policy maker** - framing HR rules and procedures.
- **Conciliator / mediator** - link between employees and management; handles grievances.
- **Welfare officer** - looks after health, safety and facilities.

Changing role

Old role	New role
Record keeper	Strategic partner of top management
Controls and enforces rules	Change agent who leads culture and technology change
Looks after the department	Employee champion - engagement, well-being, development
Works from files	Uses HR data and analytics for decisions

Conclusion

The HR manager has moved from paperwork to partnership: from managing people to developing a competitive workforce.

Marking scheme: Introduction 1 · traditional roles 2 · changing role 2 · conclusion 1

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [5 marks] What are the essential skills required for an HR manager?

Importance of HRM

The HR manager deals with people at all levels, so both people skills and business skills are needed.

1. **Communication and interpersonal skills** - to listen, explain, counsel and persuade employees and management.
2. **Leadership and negotiation skills** - to motivate teams and settle conflicts and bargaining.
3. **Analytical and decision-making skills** - to study HR data, forecast manpower needs and solve problems.

4. **Technical / IT skills** - to use HR software, online recruitment and HR analytics.
5. **Ethics and integrity** - to keep confidences and treat everyone fairly.

Conclusion: a successful HR manager combines human understanding with business and technical competence.

Marking scheme: Introduction 0.5 · five skills with explanation 4 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [6 marks] Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR manager?

Importance of HRM

Introduction

Competition, new technology and globalisation have made skilled and committed people the main source of competitive advantage. This has increased the importance of HRM.

Importance of HRM

- **Competitive advantage:** machines and money can be copied, but skilled, motivated people cannot.
- **Coping with technology change:** continuous training keeps employees up to date.
- **Higher productivity and lower turnover:** motivated employees perform better and stay longer.
- **Legal and ethical compliance:** HRM keeps the firm within labour laws and builds a good image.
- **Better industrial relations:** fair policies reduce disputes.

Essential skills of an HR manager

- Communication and interpersonal skills.
- Leadership, negotiation and conflict handling.
- Analytical and IT skills (HR analytics).
- Ethics and integrity.

Marking scheme: Introduction 1 · importance 3 · skills 2

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [2 marks] What is an HR policy?

HR Policies

An **HR policy** is a general guideline or standing plan that tells managers how to deal with people matters consistently, so that similar cases are treated alike.

- It guides decisions on matters like recruitment, promotion, leave, pay and discipline.
- It is written, communicated and applied equally throughout the organisation.

Example: A leave policy that gives every employee the same number of casual leaves.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [3 marks] "HRM policies and principles contribute to the effectiveness, continuity and stability of the organisation." Explain.

HR Policies

HR policies and principles are the framework within which all HR decisions are made. They help the organisation in three ways:

1. **Effectiveness:** clear policies guide managers, save time in decision making and keep decisions in line with organisational goals.
2. **Continuity:** policies remain the same even when managers change, so work and practices continue

smoothly.

3. **Stability:** equal and predictable treatment of employees reduces conflicts, builds trust and keeps morale and attrition steady.

Example: A written promotion policy applies the same rules to every employee irrespective of who the manager is.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [5 marks] Explain the importance and principles of a good HR policy.

HR Policies

Importance

- Ensures uniform and fair treatment of employees.
- Speeds up decisions because the rules are already known.
- Helps in control, because actual practice can be compared with policy.
- Builds employee confidence and a good organisational image.

Principles of a good policy

- Clear, written and easily understood.
- Consistent with the law and organisational objectives.
- Reasonable, flexible and capable of review.
- Communicated to all employees and applied equally.

Marking scheme: Importance 2.5 · principles 2.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [5 marks] Examine the changing role of HR in the era of globalisation and digital transformation.

Role of HR Manager

Introduction

Globalisation has created multinational and multicultural workplaces, and digital technology has changed how work is done. HR must change from an administrative department to a strategic one.

Effect of globalisation

- Managing diverse, multicultural teams and global talent.
- Common standards of HR practice across countries with respect for local laws and culture.

Effect of digital transformation

- **HR technology:** HRMS software, online recruitment, e-learning, biometric attendance.
- **Remote and hybrid work:** flexible policies and virtual team management.
- **HR analytics:** data-based decisions on hiring, attrition and performance.
- **Re-skilling:** training employees for new technologies such as AI.

Conclusion

HR is now a strategic partner and change agent that builds skills, culture and flexibility to compete globally.

Marking scheme: Introduction 1 · globalisation 1.5 · digital 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [10 marks] "The role of the HR manager has changed from administrator to strategic partner." Discuss, with reference to globalisation and digital transformation.

Role of HR Manager

1. Introduction

The HR manager is the person responsible for acquiring, developing and maintaining the human resources of the organisation. Until some decades ago the role was mostly administrative: maintaining records, running payroll and enforcing rules. Competition, globalisation and digital technology have changed this role.

2. Traditional role

- Record keeping, payroll and attendance.
- Policy enforcement and discipline.
- Welfare and conciliation between management and workers.

3. Factors that changed the role

Force	Effect on HR
Globalisation	Multicultural workforce, global hiring, international standards
Technology and digital change	HRMS, e-recruitment, e-learning, analytics, remote work
Competition	Need for skilled and innovative talent
Changing workforce	Younger employees expect flexibility, growth and purpose

4. The new roles

1. **Strategic partner** - participates in business planning.
2. **Change agent** - leads organisational and technological change.
3. **Employee champion** - engagement, well-being and career growth.
4. **Talent and data manager** - HR analytics and skills planning.
5. **Culture builder** - ethics, diversity and values.

Example: Instead of filling attendance registers, the HR head of an IT firm studies attrition data, plans reskilling in AI and designs hybrid-work policy.

5. Conclusion

The HR manager has become a partner who influences business strategy. Success needs business knowledge, technology skill and human understanding.

Marking scheme: Introduction 1 · traditional role 1.5 · factors 2 · new roles 3 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q23. [6 marks] Define HRM and explain its evolution.

Introduction to HRM

Introduction

Gary Dessler: "HRM is the process of acquiring, training, appraising and compensating employees, and of attending to their labour relations, health, safety and fairness concerns." In simple words, HRM means managing people through the whole **employee lifecycle** so that they contribute to organisational objectives.

- Treats people as **assets**, not merely a cost.
- Aligns individual goals with organisational objectives.
- Combines human judgement with policies, systems and HR data.

Evolution of HRM (W-P-H-D)

Stage	Period	Main focus
Welfare stage	Pre-1920s	Employee well-being, safety and basic amenities in factories
Personnel management	1920s-1980s	Administrative work: hiring, payroll, discipline, record keeping
HRM	1980s-2000s	Employees seen as valuable resources; development and motivation
Strategic and digital HR	2000s-present	HR as strategic partner; analytics, AI and automation support decisions

Conclusion

The direction of change is from worker welfare to strategic value creation: thus HRM has grown from a clerical activity into a strategic, technology-enabled partner of management.

Marking scheme: Definition (Dessler) 1.5 · explanation 1 · evolution table 2.5 · conclusion 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q24. [6 marks] Explain the objectives and the functions of HRM and show how the functions help to achieve the objectives.

Objectives of HRM

Introduction

HRM objectives state *what* HR must achieve; HRM functions are the *activities* through which it achieves them.

Objectives (OFSP)

Objective	Meaning
Organisational	Support organisational effectiveness through workforce planning and productivity
Functional	Maintain HR's contribution at a level appropriate to the organisation's needs
Social	Respond ethically and legally to societal needs; minimise negative impact
Personal	Help employees achieve individual career and personal goals

Functions

- **Managerial (PODC):** planning, organising, directing, controlling.
- **Operative:** staffing (procurement), training and development, compensation and rewards, motivation and integration, maintenance and welfare, emerging HR issues.

How functions achieve objectives

Objective	Functions that achieve it
Productivity	HR planning, staffing and training
Employee career growth	Training, performance management, career development
Legal / social responsibility	Compliance, welfare, fair employment practices
Cost control	Planning of manpower, compensation administration

Conclusion: objectives give direction and functions give action; together they make HRM effective.

Marking scheme: Introduction 0.5 · objectives 1.5 · functions 1.5 · relationship table 2 · conclusion 0.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q25. [5 marks] Explain the importance of HRM in modern organisations.

Importance of HRM

Introduction

In a competitive, technology-driven economy the people of an organisation decide its success; HRM manages this most valuable resource.

Importance	How HR contributes
Drives productivity	Better engagement and output
Fosters innovation	Skilled and motivated employees contribute ideas and solve problems
Ensures compliance	Handles legal, ethical and regulatory workforce obligations

Builds competitive advantage	People are difficult for competitors to copy
Strengthens culture	Shapes values, communication and employee relations
Enables change management	Supports growth, restructuring and disruption

Mnemonic: P-I-C-A-C-C. **Conclusion:** effective HRM aligns employee capability with organisational requirements and leads to long-term effectiveness.

Marking scheme: Introduction 0.5 · six points with explanation 4 · conclusion 0.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q26. [6 marks] Discuss the roles and responsibilities of HR managers and the competencies required.

Role of HR Manager

Introduction

The HR manager plans and carries out all people-related activities of the organisation. The modern HR manager performs six roles.

Role	Core responsibility
Strategic partner	Align HR strategy with business goals
Administrative expert	Ensure efficient HR processes and legal compliance
Employee champion	Advocate employee needs, morale and well-being
Change agent	Drive organisational change and transformation
Talent manager	Oversee recruitment, retention and succession
Learning facilitator	Build capability through training and development

Competencies required (C-E-L-D-P-C-D-N)

- Communication and interpersonal skills; ethical judgement and confidentiality.
- Knowledge of labour laws and compliance; data and HR analytics proficiency.
- Problem-solving and decision-making; change management and adaptability.
- Digital and HR technology (HRIS) skills; negotiation and conflict resolution.

Marking scheme: Introduction 0.5 · six roles 3 · competencies 2.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q27. [3 marks] Name any six competencies required of an HR manager.

Role of HR Manager

1. **Communication and interpersonal skills** - to talk with all levels of employees.
2. **Ethical judgement and confidentiality** - to handle sensitive information.
3. **Knowledge of labour laws** - to ensure compliance.
4. **Data and HR analytics** - to take evidence-based decisions.
5. **Change management** - to guide the organisation through change.
6. **Digital / HRIS skills** and **negotiation** - to use technology and settle conflicts.

Marking scheme: Six competencies 0.5 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q28. [5 marks] Differentiate between Personnel Management and HRM (any five bases).

HRM vs Personnel Management

Dimension	Personnel Management	HRM
Employment contract	Careful delineation of written contracts	Aims to go beyond the contract
Rules	Emphasis on clear rules	More value / mission orientation

Managerial task	Monitoring	Nurturing
Management role	Transactional	Transformational leadership
Communication	Indirect	Direct
Conflict handling	Reach a temporary truce	Manage climate and culture
Training and development	Controlled access to courses	Learning organisation
Shared interests	Organisational interests uppermost	Mutuality of interests

Fast recall: personnel management administers people; HRM develops and aligns them.

Marking scheme: Five bases, 1 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Part D - MCQs (30) - answers at the end

1. In the welfare stage (pre-1920s) the focus was on

A. HR analytics and artificial intelligence
B. employee well-being, safety and basic amenities in factories
C. strategic partnership with top management
D. learning organisations

2. Personnel management (1920s-1980s) mainly focused on

A. administrative work such as hiring, payroll, discipline and record keeping
B. treating employees as valuable assets who must be developed and motivated
C. strategic partnership with top management supported by HR analytics and AI
D. global mobility of expatriates and cross-border compliance in many countries

3. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM

A. is exactly the same as personnel management with only a change of name
B. has no link with the business strategy of the organisation
C. represents a fundamentally different approach to managing people
D. deals only with payroll and maintenance of attendance records of workers

4. 'Functional objectives' of HRM aim to

A. maximise the dividend paid to shareholders in every financial year
B. help employees fulfil their personal ambitions outside the organisation
C. ensure the firm complies with all environmental and pollution control laws
D. keep the HR department's contribution at a level suitable to the organisation's needs

5. Which statement describes HR in the era of globalisation?

A. HR avoids all cross-border rules because the firm works only inside one country
B. HR deals only with local employees and never with foreign or cross-border staff
C. HR stops using technology completely when the firm becomes a global company
D. HR manages multicultural and dispersed workforces, cross-border compliance and global mobility

6. According to Gary Dessler, HRM is the process of

A. only maintaining payroll and attendance records of the factory staff
B. acquiring, training, appraising and compensating employees and attending to their labour relations, health, safety and fairness
C. only selecting new staff and dismissing the unwanted staff of the firm
D. controlling the financial resources and the cash flow of the whole organisation

7. The mnemonic S-A-E-C-T-L lists the

A. steps of grievance handling
B. stages of selection
C. levels of bargaining
D. roles of an HR manager

8. In the managerial task dimension, personnel management is described as

A. monitoring, whereas HRM is nurturing
B. nurturing, whereas HRM is monitoring
C. transformational, whereas HRM is transactional
D. strategic, whereas HRM is clerical

9. The mnemonic A-T-A-C for the HRM definition stands for

A. Audit, Train, Assess, Check
B. Appoint, Transfer, Assign, Close
C. Analyse, Test, Approve, Control
D. Acquire, Train, Appraise, Compensate

10. Which role of the HR manager involves linking management and employees and handling grievances?

A. Marketing coordinator
B. Conciliator / mediator
C. Financial controller
D. Statutory auditor

11. The importance of HRM in the emerging scenario is mainly due to

A. reduction of competition and the decline in use of technology in business
B. competition, technology and the need for skilled talent
C. decrease in the need for trained employees in modern organisations
D. the abolition of labour laws governing the employment relationship

12. The HR role of aligning HR strategy with business goals is the

A. employee champion
B. strategic partner
C. administrative expert
D. learning facilitator

13. Which is a competency required for HR managers?

A. Operating heavy machinery
B. Cost accounting only
C. Data and HR analytics proficiency
D. Advertising design

14. The mnemonic PODC refers to

A. managerial functions: Plan, Organise, Direct, Control
B. operative functions of HRM: staffing, training, pay, motivation and maintenance
C. training evaluation levels: reaction, learning, behaviour and results of training
D. recruitment sources: promotion, transfer, job posting, referral and re-employment

15. The four categories of HRM objectives mentioned in the Important Questions are

A. organisational, functional, societal and personal
B. internal, external, formal and informal
C. short-term, medium-term, long-term and annual
D. financial, marketing, production and legal

16. The mnemonic OFSP for HRM objectives stands for

A. Organisational, Functional, Social, Personal
B. Operative, Financial, Strategic, Planning
C. Objective, Function, System, Policy
D. Organising, Forecasting, Staffing, Paying

17. Planning, organising, directing and controlling of HR activities are the

A. marketing functions of HRM
B. operative functions of HRM
C. financial functions of HRM
D. managerial functions of HRM

18. Training and career development fall under which operative function?

A. Procurement
B. Compensation
C. Separation
D. Development

19. The evolution of HRM is generally traced from

A. scientific management and time study to office automation
B. marketing management and sales promotion to strategic marketing
C. industrial engineering and production planning to financial management

D. welfare and personnel management to strategic human resource management

20. Procurement, development, compensation, integration and maintenance are the

A. managerial functions of HRM
B. operative functions of HRM
C. strategic planning tools
D. legal remedies

21. Human Resource Management is best described as

A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals
B. the process of recording employee attendance and preparing the monthly payroll
C. the activity of selecting and installing machinery for production departments
D. the legal process of settling disputes between a company and its customers

22. Maintaining HR's contribution at a level appropriate to the organisation's needs is the

A. functional objective
B. organisational objective
C. personal objective
D. social objective

23. A key difference between HRM and Personnel Management is that HRM

A. is only concerned with payroll
B. treats employees as valuable assets / resources
C. treats employees as a cost to be minimised
D. has no link with strategy

24. Which of the following is NOT listed among the reasons for the importance of HRM?

A. Drives productivity
B. Builds competitive advantage
C. Ensures compliance
D. Reducing the number of products sold

25. Societal objectives of HRM mean

A. increasing the profits of the firm by cutting the wages of the workers
B. keeping the HR department's costs at the lowest possible level
C. helping every employee to fulfil his own personal ambitions at work
D. being ethically and socially responsible to society

26. HR policies and principles contribute to

A. the increase of paperwork in the personnel department of the firm
B. effectiveness, continuity and stability of the organisation
C. rigidity, delay and confusion in the decisions taken by the managers
D. reduction in the number of employees to be recruited in each year

27. Recruitment and selection fall under which operative function of HRM?

A. Maintenance
B. Integration
C. Compensation
D. Procurement

28. Which of the following is listed in the scope of HRM in the deck?

A. HR records and HR information systems (HRIS)
B. Manufacturing of finished goods
C. Advertising and brand management
D. Preparing the balance sheet

29. An HR manager who advocates employee needs, morale and well-being plays the role of

A. change agent
B. administrative expert
C. talent manager
D. employee champion

30. Which skill is essential for an HR manager?
A. Only legal drafting skill
B. Communication and interpersonal skills
C. Only accounting skill
D. Only machine operating skill

MCQ answer key

1. **B**	6. **B**	11. **B**	16. **A**	21. **A**	26. **B**
2. **A**	7. **D**	12. **B**	17. **D**	22. **A**	27. **D**
3. **C**	8. **A**	13. **C**	18. **D**	23. **B**	28. **A**
4. **D**	9. **D**	14. **A**	19. **D**	24. **D**	29. **D**
5. **D**	10. **B**	15. **A**	20. **B**	25. **D**	30. **B**

MCQ answers with explanations

1. In the welfare stage (pre-1920s) the focus was on

Answer: B. employee well-being, safety and basic amenities in factories

Why correct: Early employers mainly looked after workers' conditions.

A is wrong: Analytics belongs to the digital stage.

C is wrong: Strategy belongs to later stages.

D is wrong: Learning organisations belong to HRM stage.

2. Personnel management (1920s-1980s) mainly focused on

Answer: A. administrative work such as hiring, payroll, discipline and record keeping

Why correct: It was clerical and administrative.

B is wrong: That is HRM.

C is wrong: That is strategic / digital HR.

D is wrong: That is the globalised stage.

3. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM

Answer: C. represents a fundamentally different approach to managing people

Why correct: 'Paradigm shift' means a change in the whole way of thinking - HRM treats people as valuable resources tied to strategy, not as a cost to be administered.

A is wrong: If HRM were only a renamed personnel management there would be no 'shift'.

B is wrong: HRM is explicitly linked with business strategy, so this is wrong.

D is wrong: Payroll and attendance are old personnel tasks, which HRM goes far beyond.

4. 'Functional objectives' of HRM aim to

Answer: D. keep the HR department's contribution at a level suitable to the organisation's needs

Why correct: Functional objectives keep the HR department's level of service in line with what the organisation needs.

A is wrong: Dividends are a finance objective.

B is wrong: Personal ambitions outside the firm are not an HR objective.

C is wrong: Environmental compliance is a societal objective.

5. Which statement describes HR in the era of globalisation?

Answer: D. HR manages multicultural and dispersed workforces, cross-border compliance and global mobility

Why correct: Globalisation widens HR's scope.

A is wrong: Compliance cannot be avoided.

B is wrong: Globalisation adds cross-border work.

C is wrong: Technology use grows.

6. According to Gary Dessler, HRM is the process of

Answer: B. acquiring, training, appraising and compensating employees and attending to their labour

relations, health, safety and fairness

Why correct: Dessler's definition covers the whole employee lifecycle.

A is wrong: That is only a clerical part of HRM.

C is wrong: Selection and dismissal are only two of many HR activities.

D is wrong: Finance is a separate function.

7. The mnemonic S-A-E-C-T-L lists the

Answer: D. roles of an HR manager

Why correct: Strategic, Administrative, Employee, Change, Talent, Learning.

A is wrong: Grievance steps differ.

B is wrong: Selection stages have another list.

C is wrong: Bargaining levels differ.

8. In the managerial task dimension, personnel management is described as

Answer: A. monitoring, whereas HRM is nurturing

Why correct: PM monitors; HRM nurtures.

B is wrong: That reverses the two.

C is wrong: PM is transactional; HRM transformational.

D is wrong: PM is clerical; HRM strategic.

9. The mnemonic A-T-A-C for the HRM definition stands for

Answer: D. Acquire, Train, Appraise, Compensate

Why correct: A-T-A-C follows Dessler's definition.

A is wrong: These are not the HRM definition words.

B is wrong: These are not the HRM definition words.

C is wrong: These are not the HRM definition words.

10. Which role of the HR manager involves linking management and employees and handling grievances?

Answer: B. Conciliator / mediator

Why correct: A conciliator or mediator links management and employees and settles grievances.

A is wrong: A marketing coordinator handles marketing activities.

C is wrong: A financial controller manages funds and budgets.

D is wrong: A statutory auditor checks accounts, not employee issues.

11. The importance of HRM in the emerging scenario is mainly due to

Answer: B. competition, technology and the need for skilled talent

Why correct: Tough competition, fast technology change and shortage of skilled people make HRM more important.

A is wrong: Competition is increasing, not falling, and technology use is rising.

C is wrong: Modern firms need more, not fewer, trained employees.

D is wrong: Labour laws are not abolished; they still govern employment.

12. The HR role of aligning HR strategy with business goals is the

Answer: B. strategic partner

Why correct: A strategic partner links HR and business goals.

A is wrong: Employee champion handles morale.

C is wrong: Administrative expert handles processes.

D is wrong: Learning facilitator builds capability.

13. Which is a competency required for HR managers?

Answer: C. Data and HR analytics proficiency

Why correct: Analytics skill is listed.

A is wrong: Not an HR competency.

B is wrong: Too narrow.

D is wrong: Not an HR competency.

14. The mnemonic PODC refers to

Answer: A. managerial functions: Plan, Organise, Direct, Control

Why correct: PODC = managerial functions.

B is wrong: Operative functions are staffing, training, pay etc.

C is wrong: Training evaluation is R-L-B-R.

D is wrong: Recruitment sources have a different mnemonic.

15. The four categories of HRM objectives mentioned in the Important Questions are

Answer: A. organisational, functional, societal and personal

Why correct: The Important Questions list the HRM objectives under four headings: organisational, functional, societal and personal.

B is wrong: Internal/external and formal/informal describe environments and organisations, not objectives.

C is wrong: Time horizons describe plans, not HRM objectives.

D is wrong: Finance, marketing, production and legal are business functions, not HRM objective types.

16. The mnemonic OFSP for HRM objectives stands for

Answer: A. Organisational, Functional, Social, Personal

Why correct: OFSP lists the four objective groups.

B is wrong: These are not HRM objectives.

C is wrong: Not the OFSP words.

D is wrong: These are not HRM objectives.

17. Planning, organising, directing and controlling of HR activities are the

Answer: D. managerial functions of HRM

Why correct: Planning, organising, directing and controlling are the four classic management functions applied to HR - the managerial functions.

A is wrong: Marketing functions deal with products and customers.

B is wrong: Operative functions are the hands-on HR activities (procurement, development, compensation...).

C is wrong: Financial functions deal with funds, not HR activities.

18. Training and career development fall under which operative function?

Answer: D. Development

Why correct: Training and career development raise knowledge, skills and attitudes - the development function.

A is wrong: Procurement is getting people into the firm.

B is wrong: Compensation is pay and benefits.

C is wrong: Separation is leaving the firm (resignation, retirement).

19. The evolution of HRM is generally traced from

Answer: D. welfare and personnel management to strategic human resource management

Why correct: HRM grew from early welfare work, to personnel management, to HRM and then strategic HRM.

A is wrong: Scientific management influenced management generally; office automation is unrelated.

B is wrong: Marketing management is a different field.

C is wrong: Engineering and production planning are not the roots of HRM.

20. Procurement, development, compensation, integration and maintenance are the

Answer: B. operative functions of HRM

Why correct: Procurement, development, compensation, integration and maintenance are the specific HR activities, called operative functions.

A is wrong: Managerial functions are planning, organising, directing, controlling.

C is wrong: These are HR activities, not planning tools.

D is wrong: These are not legal remedies; they are management activities.

21. Human Resource Management is best described as

Answer: A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals

Why correct: HRM is the complete people function: acquiring (hiring), developing (training), motivating (pay, rewards) and maintaining (welfare, relations) employees so the organisation reaches its goals.

B is wrong: Attendance and payroll are only routine clerical tasks inside HRM, not its whole meaning.

C is wrong: Machinery selection belongs to production / operations management.

D is wrong: Settling disputes with customers is a legal / customer-service matter; HRM deals with employees.

22. Maintaining HR's contribution at a level appropriate to the organisation's needs is the

Answer: A. functional objective

Why correct: Functional objectives keep HR service in proportion to needs.

B is wrong: Organisational objectives concern effectiveness.

C is wrong: Personal objectives concern employee goals.

D is wrong: Social objectives concern society.

23. A key difference between HRM and Personnel Management is that HRM

Answer: B. treats employees as valuable assets / resources

Why correct: HRM sees people as valuable assets that can be developed; personnel management saw them as a cost.

A is wrong: Payroll-only is the old personnel view.

C is wrong: That is the personnel management view.

D is wrong: HRM is linked to strategy.

24. Which of the following is NOT listed among the reasons for the importance of HRM?

Answer: D. Reducing the number of products sold

Why correct: The listed reasons are productivity, innovation, compliance, advantage, culture and change.

A is wrong: Productivity is a listed importance.

B is wrong: Competitive advantage is a listed importance.

C is wrong: Compliance is a listed importance.

25. Societal objectives of HRM mean

Answer: D. being ethically and socially responsible to society

Why correct: Societal objectives mean the firm behaves ethically and responsibly towards society.

A is wrong: Cutting wages to raise profit is unethical, the opposite of societal responsibility.

B is wrong: Keeping HR cost lowest is a functional-cost matter, not societal.

C is wrong: Personal ambitions of employees are personal objectives.

26. HR policies and principles contribute to

Answer: B. effectiveness, continuity and stability of the organisation

Why correct: Clear HR policies and principles guide decisions consistently, giving effectiveness, continuity and stability.

A is wrong: Good policies reduce, not increase, paperwork and confusion.

C is wrong: Policies reduce rigidity and confusion, they do not create it.

D is wrong: Policies do not decide how many people to recruit.

27. Recruitment and selection fall under which operative function of HRM?

Answer: D. Procurement

Why correct: Recruitment and selection obtain people for the firm - that is the procurement function.

A is wrong: Maintenance keeps employees healthy and satisfied after they join.

B is wrong: Integration is about uniting employee and organisational interests.

C is wrong: Compensation is about pay and benefits.

28. Which of the following is listed in the scope of HRM in the deck?

Answer: A. HR records and HR information systems (HRIS)

Why correct: HRIS is part of the HR scope.

B is wrong: That is production.

C is wrong: That is marketing.

D is wrong: That is accounting.

29. An HR manager who advocates employee needs, morale and well-being plays the role of

Answer: D. employee champion

Why correct: Employee champion looks after morale.

A is wrong: Change agent drives transformation.

B is wrong: Administrative expert ensures compliance.

C is wrong: Talent manager handles recruitment and succession.

30. Which skill is essential for an HR manager?

Answer: B. Communication and interpersonal skills

Why correct: HR work is dealing with people, so communication and interpersonal skills come first.

A is wrong: Legal drafting alone is too narrow for the HR role.

C is wrong: Accounting is useful but 'only accounting' is too narrow.

D is wrong: Operating machines is a technical skill, not an HR need.